06 Nov 2026 17:02:28 ET | 15 pages

Alchip (3661.TW)

Stronger N3 allocation, new US AI customer and N2 ramp to drive structural growth throughout 2028

CITI'S TAKE

Alchip hosted its 3Q26 earnings call. Its 3Q26 net profit of NT$3.3bn was up 98% QoQ and 145% YoY—better than our estimate but lower than consensus. GM/OPM at 18%/13.9% were major shortfalls. The key message during the call was: accelerating N3 shipments and a new US AI customer in 2027, followed by a potentially much larger N2-driven expansion in 2028. Looking into 2028, the key limitation could shift from customer demand to Alchip's ability to finance and support larger wafer procurement commitments. Consequently, working capital requirements, customer payment terms, and the potential need for additional financing will become increasingly important factors in determining the company's achievable revenue scale and profitability. We keep our Buy, with TP dropping to NT$6,000 from NT$6,800.

More than double N3 growth and increasing wafer allocation into N2 — Management expressed strong confidence in Alchip's 2027 growth trajectory, supported by increasing wafer allocation for its existing N3 AI accelerator project and the contribution from a newly secured second major customer. For the next generation N2 project, management reiterates that Alchip is currently the sole physical design provider across the compute and I/O dies, while the customer has indicated that only two parties—Alchip and the customer itself—will place N2 wafer orders with TSMC. This should significantly strengthen Alchip's production allocation and revenue visibility and negotiating position, although commercial discussions have not been fully finalized. The N2 design also involves greater technical complexity, including GAA technology, chiplet integration and advanced packaging, increasing the value of Alchip's engineering contribution v.s. N3.

Operating Leverage and Balance-Sheet Capacity Become Key Drivers — Despite 3Q26 GM and OPM shortfalls, Management reiterated its long-term ambition to achieve operating margins in the high teens, approaching 20%, supported by substantial revenue expansion, disciplined operating expenses and an increasingly favorable project mix. Management believes higher production volumes can generate meaningful operating leverage without a proportional increase in engineering expenses. The new US AI customer is expected to contribute attractive profitability, while the greater complexity and stronger competitive position of the N2 project should improve Alchip's long-term bargaining power.

Buy

Price (06 Nov 26 13:30)	NT$2,830.00
Target price	NT$6,000.00↓
from NT$6,800.00	
Expected share price return	112.0%
Expected dividend yield	1.2%
Expected total return	113.2%
Market Cap	NT$244,243M
	US$7,383M

Price Performance
(RIC: 3661.TW, BB: 3661 TT)



Earnings Summary

Year to 31 Dec	Net Profit (NT$M)	Diluted EPS (NT$)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	6,446	79.05	81.7	35.8	5.8	22.4	1.3
2025A	5,598	67.68	-14.4	41.8	5.6	14.0	1.1
2026E	10,036	116.23	71.7	24.3	3.6	18.6	2.1
2027E	19,322	220.79	90.0	12.8	2.8	25.1	4.0
2028E	29,282	334.60	51.6	8.5	2.1	28.9	5.5

Source: Powered by dataCentral

Laura (Chia Yi) Chen[AC]
+886-2-8726-9090
laura.cy.chen@citi.com

Jack Chen
+886-2-8726-9091
jack1.chen@citi.com

Nicholas Lai
+886-2-8726-9093
nicholas.lai@citi.com

3661.TW: Fiscal year end 31-Dec						Price: NT$2,830.00; TP: NT$6,000.00; Market Cap: NT$244,243m; Recomm: Buy					
Profit & Loss (NT$m)	**2024**	**2025**	**2026E**	**2027E**	**2028E**	**Valuation ratios**	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Sales revenue	51,969	30,926	67,315	156,380	198,641	PE (x)	35.8	41.8	24.3	12.8	8.5
Cost of sales	-41,768	-22,772	-52,213	-126,530	-155,968	PB (x)	5.8	5.6	3.6	2.8	2.1
Gross profit	10,201	8,154	15,102	29,850	42,673	EV/EBITDA (x)	26.6	28.0	15.5	7.5	4.7
Gross Margin (%)	19.6	26.4	22.4	19.1	21.5	FCF yield (%)	0.8	4.1	-3.6	4.5	7.5
EBITDA (Adj)	**8,439**	**7,594**	**13,227**	**26,136**	**38,609**	Dividend yield (%)	1.3	1.1	2.1	4.0	5.5
EBITDA Margin (Adj) (%)	16.2	24.6	19.6	16.7	19.4	Payout ratio (%)	46	48	51	51	47
Depreciation	-1,943	-2,577	-2,417	-3,600	-3,600	ROE (%)	22.4	14.0	18.6	25.1	28.9
Amortisation	0	0	0	0	0	**Cashflow (NT$m)**	**2024**	**2025**	**2026E**	**2027E**	**2028E**
EBIT (Adj)	**6,496**	**5,017**	**10,810**	**22,536**	**35,009**	EBITDA	8,439	7,594	13,227	26,136	38,609
EBIT Margin (Adj) (%)	12.5	16.2	16.1	14.4	17.6	Working capital	-4,825	3,645	-19,498	-9,112	-11,474
Net interest	1,194	1,583	1,418	1,508	1,508	Other	135	750	-579	-3,977	-6,564
Associates	-3	-1	-10	-28	-28	**Operating cashflow**	**3,749**	**11,989**	**-6,850**	**13,047**	**20,571**
Non-Op/Except/Other Adj	121	121	228	332	332	Capex	-1,998	-2,287	-1,961	-2,000	-2,000
Pre-tax profit	**7,808**	**6,720**	**12,446**	**24,348**	**36,821**	Net acq/disposals	-652	-880	-124	0	0
Tax	-1,362	-1,124	-2,408	-5,011	-7,523	Other	0	0	0	0	0
Extraord./Min.Int./Pref.div.	-1	2	-2	-16	-16	**Investing cashflow**	**-2,651**	**-3,167**	**-2,085**	**-2,000**	**-2,000**
Reported net profit	**6,446**	**5,598**	**10,036**	**19,322**	**29,282**	Dividends paid	-1,818	-2,946	-2,805	-5,093	-9,801
Net Margin (%)	12.4	18.1	14.9	12.4	14.7	**Financing cashflow**	**14,979**	**-4,170**	**16,433**	**-4**	**0**
Core NPAT	6,446	5,598	10,036	19,322	29,282	**Net change in cash**	**16,077**	**4,652**	**7,497**	**11,043**	**18,571**
Per share data	**2024**	**2025**	**2026E**	**2027E**	**2028E**	**Free cashflow to s/holders**	**1,751**	**9,702**	**-8,811**	**11,047**	**18,571**
Reported EPS ($)	79.05	67.68	116.23	220.79	334.60						
Core EPS ($)	79.05	67.68	116.23	220.79	334.60						
DPS ($)	36.24	32.54	59.08	113.69	155.66						
CFPS ($)	45.98	144.93	-79.34	149.09	235.07						
FCFPS ($)	21.47	117.28	-102.05	126.23	212.22						
BVPS ($)	489.23	502.01	780.67	1,004.76	1,344.44						
Wtd avg ord shares (m)	79.0	80.9	81.8	81.9	81.9						
Wtd avg diluted shares (m)	81.5	82.7	86.3	87.5	87.5						
Growth rates	**2024**	**2025**	**2026E**	**2027E**	**2028E**						
Sales revenue (%)	70.5	-40.5	117.7	132.3	27.0						
EBIT (Adj) (%)	72.7	-22.8	115.5	108.5	55.3						
Core NPAT (%)	93.8	-13.1	79.3	92.5	51.6						
Core EPS (%)	81.7	-14.4	71.7	90.0	51.6						
Balance Sheet (NT$m)	**2024**	**2025**	**2026E**	**2027E**	**2028E**						
Cash & cash equiv.	27,044	32,627	41,011	52,054	70,626						
Accounts receivables	5,730	3,011	8,543	14,961	22,996						
Inventory	8,661	6,945	39,092	67,855	98,422						
Net fixed & other tangibles	2,045	2,225	1,545	2,092	2,712						
Goodwill & intangibles	481	553	520	520	520						
Financial & other assets	6,349	12,677	31,565	57,169	89,226						
Total assets	**50,309**	**58,039**	**122,277**	**194,650**	**284,502**						
Accounts payable	1,826	1,986	12,016	20,761	30,745						
Short-term debt	0	0	0	0	0						
Long-term debt	0	0	0	0	0						
Provisions & other liab	9,006	15,228	42,943	87,238	137,807						
Total liabilities	**10,833**	**17,214**	**54,959**	**107,999**	**168,552**						
Shareholders' equity	39,456	40,805	67,297	86,615	115,897						
Minority interests	21	19	21	37	53						
Total equity	**39,477**	**40,824**	**67,318**	**86,652**	**115,949**						
Net debt (Adj)	**-27,044**	**-32,627**	**-41,011**	**-52,054**	**-70,626**						
Net debt to equity (Adj) (%)	-68.5	-79.9	-60.9	-60.1	-60.9						

For definitions of the items in this table, please click here.

AI infrastructure demand, supply constraints and engineering productivity are key for growth outlook

Despite rising concerns over data center power availability, infrastructure deployment delays and potential AI investment moderation, management reported no meaningful slowdown in customer demand or changes in development schedules. Based on discussions with major customers, Alchip expects strong demand extending through 2027–2029, with next-generation AI accelerator volumes potentially exceeding current-generation levels substantially. Management cautioned that shipment delays could arise from supply-side constraints, particularly PCB, substrates, passive components and advanced semiconductor capacity, rather than weakening end demand. More importantly, large AI accelerator projects generally receive priority allocation, leaving smaller customers and traditional applications more exposed to shortages. Meanwhile, AI adoption is materially improving Alchip's engineering productivity, particularly in RTL coding, verification, design iteration and analysis of implementation reports. Alchip's CPU and networking projects are progressing on schedule, but management believes advanced AI accelerator designs offer substantially greater engineering differentiation and revenue opportunities than conventional CPU projects.

Looking into 2028, the key limitation could shift from customer demand to Alchip's ability to finance and support larger wafer procurement commitments. Consequently, working-capital requirements, customer payment terms and the potential need for additional financing will become increasingly important factors in determining the company's achievable revenue scale and profitability.

We lift our 2027/2028 earnings projection for Alchip by 14% and 13%, reflecting stronger order allocation into next two years. We are maintaining our Buy on the stock but lowering our TP to NT$6,000, with lower PER at 27x of 2027 EPS (from 35x previously), reflecting macro and AI policy uncertainty, in the low end of its historical PER.

Figure 1. Alchip – 3Q26 results overview

(NT$mn)	3Q26 Actual	2Q26 Actual	Q/Q	3Q25 Actual	Y/Y	3Q26 Citi	Diff.	3Q26 Cons.	Diff.
Revenue	26,051	7,640	241%	6,570	297%	19,558	33%	25,597	2%
Gross profit	4,699	2,662	77%	1,841	155%	4,645	1%	5,205	-10%
Gross margin	18.0%	34.8%	-16.8 ppt	28.0%	-10.0 ppt	23.8%	-5.7 ppt	20.3%	-2.3 ppt
Op. profit	3,629	1,647	120%	1,157	214%	3,237	12%	4,114	-12%
OP margin	13.9%	21.6%	-7.6 ppt	17.6%	-3.7 ppt	16.6%	-2.6 ppt	16.1%	-2.1 ppt
Net income	3,251	1,639	98%	1,328	145%	2,876	13%	3,583	-9%
EPS (NT$)	39.70	20.01	98%	16.40	142%	35.55	12%	43.43	-9%

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Source: Citi Research, Bloomberg

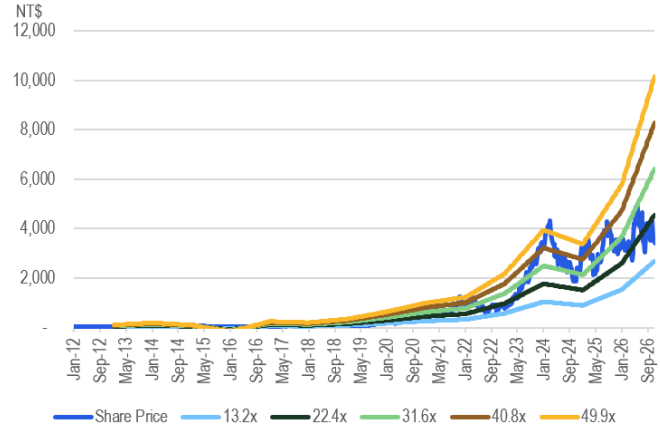
Figure 2. Alchip – Estimates Revisions

	2026E			2027E			2028E		
(NT$mn)	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.
Sales	67,315	53,778	25%	156,380	126,344	24%	198,641	207,694	-4%
YoY growth	118%	74%		132%	135%		27%	64%	
Gross profit	15,102	14,957	1%	29,850	27,632	8%	42,673	44,214	-3%
Opex	4,293	4,725	-9%	7,314	9,112	-20%	7,664	14,996	-49%
Operating profit	10,810	10,232	6%	22,536	18,520	22%	35,009	29,218	20%
Pre-tax profit	12,446	11,824	5%	24,348	20,188	21%	36,821	30,886	19%
Net income	10,036	9,509	6%	19,322	16,027	21%	29,282	24,560	19%
EPS (NT$)	116.23	114.85	1%	220.79	193.57	14%	334.60	296.63	13%
Gross margin	22.4%	27.8%	-5.4 ppt	19.1%	21.9%	-2.8 ppt	21.5%	21.3%	+0.2 ppt
Opex ratio	6.4%	8.8%	-2.4 ppt	4.7%	7.2%	-2.5 ppt	3.9%	7.2%	-3.4 ppt
Operating margin	16.1%	19.0%	-3.0 ppt	14.4%	14.7%	-0.2 ppt	17.6%	14.1%	+3.6 ppt
Net margin	14.9%	17.7%	-2.8 ppt	12.4%	12.7%	-0.3 ppt	14.7%	11.8%	+2.9 ppt

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Source: Citi Research

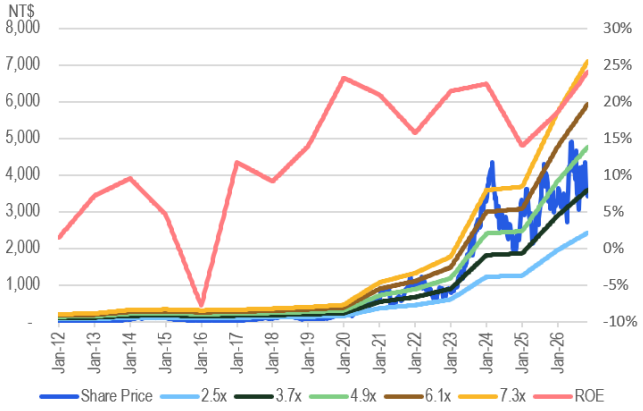
Figure 3. Alchip – Forward P/E band



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Source: Citi Research

Figure 4. Alchip – Forward P/B band & ROE



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Source: Citi Research

Figure 5. Alchip – Forecast summary

Alchip	2025				2026				2027							
(NT$ in Mn, year-end Dec)	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4QE	1QE	2QE	3QE	4QE	2025	2026E	2027E	2028E
Revenue	10,485	9,144	6,570	4,727	4,187	7,640	26,051	29,438	32,381	37,793	42,489	43,717	30,926	67,315	156,380	198,641
COGS	-8,056	-7,257	-4,729	-2,730	-2,086	-4,978	-21,352	-23,797	-26,409	-30,847	-34,330	-34,944	-22,772	-52,213	-126,530	-155,968
Depreciation costs	-789	-543	-578	-667	-516	-601	-600	-700	-900	-900	-900	-900	-2,577	-2,417	-3,600	-3,600
Gross Profit	2,429	1,887	1,841	1,997	2,101	2,662	4,699	5,641	5,973	6,946	8,159	8,773	8,154	15,102	29,850	42,673
Operating Expense	-934	-737	-684	-782	-733	-1,015	-1,070	-1,472	-1,619	-1,512	-2,001	-2,186	-3,138	-4,293	-7,314	-7,664
SG&A expenses	-249	-251	-233	-197	-223	-278	-391	-589	-648	-567	-850	-874	-930	-1,480	-2,939	-3,276
R&D expenses	-467	-494	-453	-417	-508	-742	-679	-883	-971	-945	-1,147	-1,311	-1,831	-2,812	-4,375	-4,388
EBIT	1,494	1,150	1,157	1,215	1,368	1,647	3,629	4,169	4,353	5,434	6,158	6,587	5,017	10,810	22,536	35,009
Pre-Tax Profit	1,793	1,599	1,591	1,737	1,784	2,035	4,082	4,547	4,805	5,887	6,611	7,041	6,720	12,446	24,348	36,821
Tax	-332	-277	-265	-250	-357	-397	-832	-822	-1,066	-1,273	-1,399	-1,273	-1,124	-2,408	-5,011	-7,523
Net Profit	1,464	1,324	1,328	1,483	1,428	1,639	3,251	3,721	3,736	4,610	5,207	5,764	5,598	10,036	19,322	29,282
EPS - diluted (NT$)	17.69	16.02	16.04	17.92	17.23	18.72	37.15	42.52	42.69	52.68	59.50	65.87	67.68	116.23	220.79	334.60
Margins (%)																
Gross Margin	23.2%	20.6%	28.0%	42.3%	50.2%	34.8%	18.0%	19.2%	18.4%	18.4%	19.2%	20.1%	26.4%	22.4%	19.1%	21.5%
Operating Margin	14.3%	12.6%	17.6%	25.7%	32.7%	21.6%	13.9%	14.2%	13.4%	14.4%	14.5%	15.1%	16.2%	16.1%	14.4%	17.6%
Net Margin	14.0%	14.5%	20.2%	31.4%	34.1%	21.4%	12.5%	12.6%	11.5%	12.2%	12.3%	13.2%	18.1%	14.9%	12.4%	14.7%
Sequential Growth (%)																
Revenue	-20%	-13%	-28%	-28%	-11%	82%	241%	13%	10%	17%	12%	3%	-40%	118%	132%	27%
Gross Profit	-12%	-22%	-2%	9%	5%	27%	77%	20%	6%	16%	17%	8%	-20%	85%	98%	43%
EBIT	-15%	-23%	1%	5%	13%	20%	120%	15%	4%	25%	13%	7%	-23%	115%	108%	55%
Net Profit	-20%	-10%	0%	12%	-4%	15%	98%	14%	0%	23%	13%	11%	-13%	79%	93%	52%
EPS	-24%	-9%	0%	12%	-4%	9%	98%	14%	0%	23%	13%	11%	-14%	72%	90%	52%

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Source: Citi Research

Bull/Bear: Alchip (3661.TW)

NT$ 7,000.00 ▲147% Upside | NT$ 6,000.00 ▲112% Upside | NT$ 2,500.00 ▼12% Downside



Spread 159pp
Current Price and expected returns (upside/downside) as of 06 Nov 2026

BULL Assumptions

- More-than-expected AI ASIC projects revenue contribution
- New projects wins from exist or new customers

BASE Assumptions

- Sales 2025-28E CAGR of around +80%

BEAR Assumptions

- Slower-than-expected NRE projects and revenue contribution
- Capacity constraint at advanced packaging
- More competition from its peers or/and insourcing at their customers

Alchip

Company description

Alchip is a leading provider of silicon design and manufacturing service, specializing in ASIC (Application-Specific Integrated Circuit) design, development, and production. Founded in 2003, the company has >1,000 employees and operates in Taipei, Shanghai, Japan, Korea, and the US. Alchip serves a wide range of industries, including automotive, industrials, consumer electronics, and computing.

Investment strategy

We rate Alchip as Buy. We expect Alchip to deliver a strong snapback in 2026/27 with its N3 project ramping up. Moreover, we are also positive over the long-term growth opportunity from its AI ASIC projects with its major CSP client. Alchip remains one of the few design service providers within TSMC's 3DFabric alliance. In our view, if CSPs work more aggressively on their internal design and become more competitive on product offerings, Alchip would be well positioned as a back-end/turnkey partner.

Valuation

Our target price for Alchip of NT$6,000 is based on 27x 2027E EPS. 27x target PER is lower than its historical 3-year PER range, which we see as justified on account of strong growth potential of its AI ASIC projects with its key CSP client, reflecting macro and AI policy uncertainty but with better project cycle and strong growth momentum resuming next year. Our target price equates to 2026/27E P/B of 6x/5x.

Risks

Key downside risks to our target price include: 1) slower-than-expected NRE projects and revenue contributions; 2) capacity constraints at advanced packaging; and 3) more competition and/or insourcing by customers.

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Appendix A-1

ANALYST CERTIFICATION

The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by "AC" in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global

Markets Inc. and its affiliates; and (2) no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in this report.

IMPORTANT DISCLOSURES

Alchip (3661.TW)

Ratings and Target Price History
Fundamental Research

Analyst: Laura (Chia Yi) Chen



	Date	Rating	Target Price	Closing Price
1	02-Nov-23 19:35:26	1	*3,280.00	2,820.00
2	10-Dec-23 22:11:06	1	*3,840.00	3,335.00
3	20-Feb-24 08:20:35	1	*4,850.00	4,150.00
4	25-Apr-24 19:13:09	1	*3,900.00	2,830.00
5	25-Aug-24 17:11:26	1	*3,700.00	2,655.00
6	24-Oct-24 11:30:35	*2	*2,000.00	1,980.00
7	01-Nov-24 09:43:49	2	*2,200.00	2,030.00
8	09-Feb-25 15:55:03	2	*3,815.00	3,605.00
9	27-Feb-25 10:20:56	2	*3,700.00	3,285.00
10	01-May-25 14:24:22	2	*2,400.00	2,125.00
11	02-Jul-25 10:54:37	2	*3,180.00	3,190.00
12	13-Aug-25 10:10:55	*1	*4,800.00	4,120.00
13	06-Mar-26 09:46:22	1	*4,200.00	3,310.00
14	08-May-26 12:27:59	1	*6,200.00	4,890.00
15	14-Aug-26 08:26:56	1	*6,800.00	4,210.00

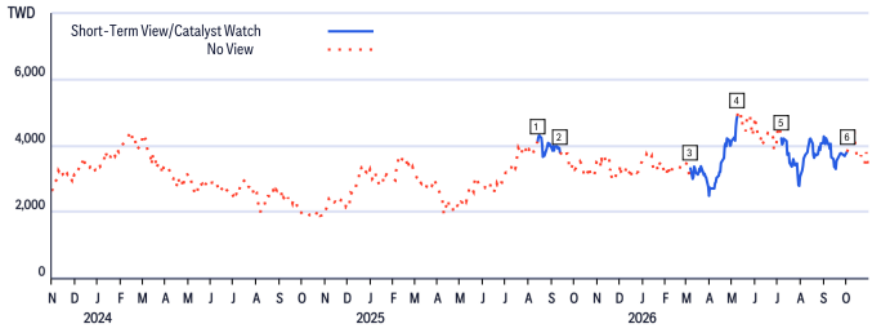
*Indicates Change

Rating/target price changes above reflect Eastern Time

Alchip (3661.TW)

Short-Term View/Catalyst Watch Research

Analyst: Laura (Chia Yi) Chen



	Date	Action	Expected Direction	Duration	Closing Price
1	13-Aug-25 06:10:55	Add STV	Upside	30 Days	4,120.00
2	12-Sep-25 14:04:30	Remove STV	Upside	30 Days	3,790.00
3	06-Mar-26 04:46:22	Add STV	Downside	90 Days	3,310.00
4	08-May-26 08:27:59	Remove STV	Downside	90 Days	4,890.00
5	06-Jul-26 07:37:18	Add STV	Upside	90 Days	4,215.00
6	04-Oct-26 21:34:31	Remove STV	Upside	90 Days	3,810.00

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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	12 Month Rating			Catalyst Watch		
Data current as of 01 Oct 2026	**Buy**	**Hold**	**Sell**	**Buy**	**Hold**	**Sell**
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